Executive Summary

NorthStar Manufacturing - Invoice Approval Process Optimization

Current-State Problem

NorthStar Manufacturing processes approximately 1,200 vendor invoices per month through a manual, email-driven approval process. AP receives invoices in a shared inbox, enters them into Excel, validates invoice data, determines the correct approver, sends approval emails, follows up manually, updates the tracker, and forwards approved invoices to Accounting for entry into Dynamics 365.

The process creates approval delays, high AP administrative effort, limited reporting visibility, fragmented documentation, late-payment risk, missed early-payment discounts, and audit preparation challenges.

Root Cause

The root cause is not simply that managers approve invoices slowly. The deeper issue is that NorthStar does not have a standardized, system-supported invoice approval workflow with current approval rules, centralized tracking, automated routing, reminders, escalations, and reliable audit evidence.

Business Impact

Impact Area	Current Impact
Operational efficiency	AP spends too much time routing, tracking, following up, and maintaining spreadsheets.
Financial performance	Several invoices per month are paid late, and early-payment discounts have been missed.
Visibility	Leadership lacks reporting on pending invoices, approval aging, overdue approvals, workload, cycle time, and late-payment risk.
Controls and audit	Approval evidence is fragmented across Outlook, Excel, shared drives, and Dynamics.
Scalability	Manual tracking and follow-up will become harder to manage as invoice volume grows.
Employee experience	AP and managers experience unnecessary administrative friction due to unclear routing and email-based approvals.

Recommended Direction

Phase	Recommendation	Primary Outcome
Phase 1: Standardize and stabilize	Update approval policy, clean approval matrix, define SLAs, standardize tracker, establish exception categories, and start KPI reporting.	Immediate visibility, clearer ownership, and cleaner process foundation.
Phase 2: Automate workflow management	Automate routing, reminders, escalations, approval queues, audit trail capture, and dashboard reporting.	Reduced AP manual effort and faster approvals.
Phase 3: Select long-term platform	Assess Dynamics 365 workflow capability versus AP automation software.	Scalable, integrated invoice approval operating model.

Success Metrics

Metric	Why It Matters
Average approval cycle time	Measures speed from receipt to approval.
Approval aging	Shows how long invoices have been pending.
Overdue approval count	Identifies stuck invoices and approver bottlenecks.
% approved within SLA	Measures adherence to approval expectations.
Late payment count	Measures payment risk.
Missed discount opportunities	Quantifies financial leakage from delays.
AP manual follow-up count	Measures administrative burden.
Exception rate	Identifies invoice quality and process issues.
Audit evidence retrieval time	Measures audit readiness.

Immediate Recommendation

NorthStar should not jump directly into software selection. The strongest path is to clean up approval rules, ownership, SLAs, tracking, exceptions, and KPI reporting first. Automation should be built on a stable process foundation rather than on outdated policy and inconsistent routing logic.